

2026–27 Australian Federal Budget

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By [Matthew Hassan](#) , [Elliot Clarke](#) , [Ryan Wells](#) , [Luci Ellis](#) , [Sian Fenner](#) , [Illiana Jain](#) , [Mantas Vanagas](#) , [Neha Sharma](#) & [Luka Belobrajdic](#)

01:18 May 13 2026

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All the key changes and economic bottom line coming out of this year's Federal Budget.



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The budget forecasts an underlying cash deficit of \$28.3bn in FY2026 (1.0% of GDP), \$8.5bn smaller than forecast at MYEFO in December. Higher commodity prices have boosted corporate tax revenue;

stronger nominal growth in domestic demand has also supported the near-term bottom line.

The deficit is expected to widen by almost \$6bn in FY2027, to \$34.4bn (1.0% of GDP), as higher energy prices and interest rates crimp economic growth and revenues. The government has redistributed some of the windfall from high energy and other commodity prices by policy changes, including the earlier cuts to excise.

Budget announces significant tax changes and shifts in spending priorities. CGT, negative gearing and trusts are all affected; concessions for SMEs and start-ups. NDIS savings measures start small but build to 0.5% GDP by FY2030 and higher thereafter.

Execution is the key risk to the budget, given the scale of ambition of NDIS and other spending reforms.

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